

### Q4 NII & Wealth Strength - '26 guides imply HSD upgrades to consensus

Q4 adjusted PBT was 9% ahead on net interest income which benefitted from deposit growth and higher HIBOR. This gives management - along with visibility from the structural hedge - the conviction to produce banking NII guidance for '26E of > \$45bn, some \$1.5bn higher than the street. Wealth showed \$80bn higher invested assets YoY. Investors should welcome HSB synergies totalling \$900m with \$600m CTA + consistent > 17% ROTE guide. Shares on 1.8x spot TBV.

**HSBC has produced a strong Q4 25 print with 2026 guidance implying high-single digit upside to consensus.** The Q4 results were - similar to STAN yesterday - robust on net interest income (banking NII 6% ahead; non-II in-line, adjusted basis) and Wealth (where fee & other income was +20% YoY). FY 25 ROTE was 17%, adjusted for notable items. TBV/share grew 12% you in Q4.

HSBC has provided further details on the Hang Seng transaction with \$500m of base synergies (of which \$300m costs) and a further \$400m of additional revenue and cost opportunities, to be achieved with \$600m of restructuring costs by FY 2028.

Banking NII was the stand-out for Q4 at \$11.7bn driven by higher HIBOR and \$100m of items not expected to repeat. Management guide for FY 26 banking NII of **at least** \$45bn on deposit growth and structural hedge contributions. The current consensus is \$43.5bn.

Costs were in-line with street estimates and management guide to a 1% increase in costs for 2026. On management guidance, the implied '26 cost base would be \$33.8bn, which is \$500m better than consensus. We suspect investors will probe the 1% increase in costs in-light of the competitive environment + necessary AI investments etc.

Taken together, the 2026 guidance implies high single digit upgrades (~7%) to consensus pre-tax. Further, management have guided to revenue growth in each of '26, '27, '28, rising to 5% by 2028. This means the company can achieve an underlying ROTE of > 17% in each year (consensus & JEF '27E = 17%).

**Adjusted revenues +7% YoY:** Banking NII was reported at \$11.7bn in 4Q, which was +6% above consensus. NII benefitted from higher HIBOR in the quarter and from a specific item (which is not expected to be repeated). Group NIM stood at 164% in 4Q (+7bps QoQ and +10bps YoY). Within non-interest income, Wealth was a standout (+20% YoY), with particular strength in Insurance (+49%). Elsewhere, Asset Management and Investment Distribution (+14% YoY) were areas supportive to revenue growth.

**Adjusted costs up +6% QoQ (+5% YoY),** but broadly in line with consensus. The increase is primarily a reflection of higher planned spend and investment in technology as well as inflation. On a reported constant currency basis, costs were up +7% YoY.

**4Q25 credit charge of \$901mn (12% beat vs cons),** 11% lower QoQ/34% lower YoY. Both 4Q24 and 3Q25 reflect elevated charges in the Wholesale lending business, therefore, base effects are reflected in the QoQ and YoY delta. We calculate a **4Q cost of risk of 37bps**. Management guide to a c.40bps CoR for FY26 and 30-40bps TTC medium term range.

#### FLASH NOTE

| RATING                   | HOLD                   |
|--------------------------|------------------------|
| PRICE                    | 1,291.40p <sup>a</sup> |
| PRICE TARGET   % TO PT   | 1,120.00p   -13%       |
| 52W HIGH-LOW             | 1,323p - 699p          |
| FLOAT (%)   ADV MM (USD) | 96.6%   255.28         |
| MARKET CAP               | £224.7B   \$303.3B     |
| TICKER                   | HSBA LN                |

<sup>a</sup>Prior trading day's closing price unless otherwise noted.

#### Exhibit 1 - HSBC 3Q25

| HSBC 4Q25                | Actuals | Vs Cons  | Growth Rates |
|--------------------------|---------|----------|--------------|
| PnL [adj] (£m)           | 4Q25    | Cons     | QoQ YoY      |
| Total Income             | 17,723  | +3%      | -1% +7%      |
| Total Opex               | -8,905  | -0%      | +6% +5%      |
| PPOP                     | 8,818   | +7%      | -7% +10%     |
| ECL Charges              | -901    | -12%     | -11% -34%    |
| Profits from Assoc & JVs | 669     | +3%      | +13% -1%     |
| PBT                      | 8,586   | +9%      | -6% +17%     |
| PnL [stat] (£m)          |         |          |              |
| Total Income             | 16,364  | +6%      | -8% +42%     |
| Total Opex               | -9,330  | +0%      | -7% +8%      |
| PBT                      | 6,802   | +18%     | -7% +199%    |
| Balance Sheet (\$bn)     |         |          |              |
| Loans                    | 988     | +1%      | +1% +6%      |
| Deposits                 | 1,787   | +2%      | +3% +8%      |
| RWAs                     | 889     | +1%      | +1% +6%      |
| Franchise Indicators     |         |          |              |
| ROTE [stat] %            | 11.8%   | -110bps  | -40bps       |
| Cost of Risk %           | 0.37%   | -5bps    | -4bps        |
| Cost Income [stat] %     | 57%     | -3.3ppts | +0.4ppts     |
| CET1 %                   | 14.9%   | +20bps   | +40bps       |

Source: Company reports, Jefferies estimates

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**CET1 of 14.9%** (+20bps versus cons), with moving parts this quarter including retained profits (+80bps), strategic initiatives (+20bps) offset by the dividend (+40bps) and RWA inflation (-20bps).

**RWAs of \$889bn** +1% higher versus consensus and +1% higher QoQ (+6% YoY). The increase in RWAs was mainly driven by higher operational risk RWAs driven by higher average income.

**TNAV:** TNAVps of 964c, up +12% YoY (+3% vs cons), up +42c QoQ, with a -4% YoY reduction in the share count.

**Capital return/DPS:** The company announced a \$0.45/share Q4 ordinary DPS accrual.

*Variance Tables in Exhibit 1 and Exhibit 2. Call is at 7:45am UKT*

Exhibit 2 - HSBC Variance Table vs Estimates

| HSBC Variance Table       |        |        |        |        |        |        |        |         |        | Co. Cons |          | Growth Rates |           |
|---------------------------|--------|--------|--------|--------|--------|--------|--------|---------|--------|----------|----------|--------------|-----------|
| PnL [adj] (£m)            | 4Q23   | 1Q24   | 2Q24   | 3Q24   | 4Q24   | 1Q25   | 2Q25   | 3Q25    | 4Q25   | Cons     | Δ        | QoQ          | YoY       |
| Total Income              | 15,754 | 17,020 | 16,701 | 17,209 | 16,623 | 17,740 | 17,657 | 17,900  | 17,723 | 17,146   | +3%      | -1%          | +7%       |
| Total Opex                | -8,580 | -8,101 | -8,113 | -8,098 | -8,510 | -7,911 | -8,268 | -8,380  | -8,905 | -8,920   | -0%      | +6%          | +5%       |
| Pre-provision Op Profit   | 7,174  | 8,919  | 8,588  | 9,111  | 8,006  | 9,829  | 9,389  | 9,520   | 8,818  | 8,226    | +7%      | -7%          | +10%      |
| ECL Charges               | -1,031 | -720   | -346   | -986   | -1,364 | -876   | -1,065 | -1,008  | -901   | -1,020   | -12%     | -11%         | -34%      |
| Profits from Assoc & JVs  | 632    | 769    | 857    | 607    | 679    | 813    | 838    | 591     | 669    | 648      | +3%      | +13%         | -1%       |
| PBT                       | 6,775  | 8,968  | 9,099  | 8,732  | 7,323  | 9,766  | 9,162  | 9,103   | 8,586  | 7,854    | +9%      | -6%          | +17%      |
|                           |        |        |        |        |        |        |        |         |        |          |          |              |           |
| PnL [stat] (£m)           | 4Q23   | 1Q24   | 2Q24   | 3Q24   | 4Q24   | 1Q25   | 2Q25   | 3Q25    | 4Q25   | Cons     | Δ        | QoQ          | YoY       |
| Total Income              | 13,021 | 20,752 | 16,540 | 16,998 | 11,564 | 17,649 | 16,473 | 17,788  | 16,364 | 15,449   | +6%      | -8%          | +42%      |
| - Of which Banking NII    | 10,717 | 11,266 | 10,938 | 10,867 | 10,904 | 10,599 | 10,714 | 11,049  | 11,700 | 11,057   | +6%      | +6%          | +7%       |
| Total Opex                | -8,645 | -8,151 | -8,145 | -8,143 | -8,604 | -8,102 | -8,920 | -10,076 | -9,330 | -9,321   | +0%      | -7%          | +8%       |
| Pre-provision Op Profit   | 4,376  | 12,601 | 8,395  | 8,855  | 2,960  | 9,547  | 7,553  | 7,712   | 7,034  | 6,128    | +15%     | -9%          | +138%     |
| ECL Charges               | -1,031 | -720   | -346   | -986   | -1,362 | -876   | -1,065 | -1,008  | -901   | -1,020   | -12%     | -11%         | -34%      |
| Profits from Assoc & JVs  | 632    | 769    | 857    | 607    | 679    | 813    | -162   | 591     | 669    | 648      | +3%      | +13%         | -1%       |
| PBT                       | 3,977  | 12,650 | 8,906  | 8,476  | 2,277  | 9,484  | 6,326  | 7,295   | 6,802  | 5,756    | +18%     | -7%          |           |
|                           |        |        |        |        |        |        |        |         |        |          |          |              |           |
| Balance Sheet (\$bn)      | 4Q23   | 1Q24   | 2Q24   | 3Q24   | 4Q24   | 1Q25   | 2Q25   | 3Q25    | 4Q25   | Cons     | Δ        | QoQ          | YoY       |
| Loans                     | 939    | 933    | 938    | 969    | 931    | 945    | 982    | 983     | 988    | 979      | +1%      | +1%          | +6%       |
| Deposits                  | 1,612  | 1,570  | 1,594  | 1,661  | 1,655  | 1,666  | 1,719  | 1,737   | 1,787  | 1,745    | +2%      | +3%          | +8%       |
| RWAs                      | 854    | 833    | 835    | 864    | 838    | 853    | 887    | 879     | 889    | 878      | +1%      | +1%          | +6%       |
|                           |        |        |        |        |        |        |        |         |        |          |          |              |           |
| Per Share Data (\$ cents) | 4Q23   | 1Q24   | 2Q24   | 3Q24   | 4Q24   | 1Q25   | 2Q25   | 3Q25    | 4Q25   | Cons     | Δ        | QoQ          | YoY       |
| EPS [stat]                | -1     | 54     | 35     | 34     | 1      | 39     | 26     | 28      | 28     | 23       | +22%     | -2%          |           |
| TBVPS                     | 819    | 867    | 835    | 900    | 861    | 908    | 917    | 922     | 964    | 938      | +3%      | +5%          | +12%      |
| DPS                       | 31     | 31     | 10     | 10     | 36     | 10     | 10     | 10      | 45     | 42       | +7%      | +350%        | +25%      |
| Shares [p/e] (billions)   | 19.01  | 18.69  | 18.33  | 17.98  | 17.92  | 17.67  | 17.40  | 17.18   | 17.14  | 17.16    | -0%      | -0%          | -4%       |
|                           |        |        |        |        |        |        |        |         |        |          |          |              |           |
| Franchise Indicators      | 4Q23   | 1Q24   | 2Q24   | 3Q24   | 4Q24   | 1Q25   | 2Q25   | 3Q25    | 4Q25   | Cons     | Δ        | QoQ          | YoY       |
| ROTE [stat] %             | -0.6%  | 25.6%  | 16.2%  | 15.3%  | 0.3%   | 17.9%  | 11.5%  | 12.2%   | 11.8%  | 12.9%    | -110bps  | -40bps       | +1,150bps |
| Cost of Risk %            | 0.43%  | 0.31%  | 0.15%  | 0.41%  | 0.57%  | 0.38%  | 0.44%  | 0.41%   | 0.37%  | 0.41%    | -5bps    | -4bps        | -20bps    |
| Cost Income [stat] %      | 66%    | 39%    | 49%    | 48%    | 74%    | 46%    | 54%    | 57%     | 57%    | 60%      | -3.3ppts | +0.4ppts     | -17.4ppts |
| Cost Income [adj] %       | 54%    | 48%    | 49%    | 47%    | 51%    | 45%    | 47%    | 47%     | 50%    | 52%      |          | +3.4ppts     | -1.2ppts  |
| CET1 %                    | 14.8%  | 15.2%  | 15.0%  | 14.6%  | 14.9%  | 14.7%  | 14.6%  | 14.5%   | 14.9%  | 14.7%    | +20bps   | +40bps       | -         |
| Buybacks [declared] (\$m) | 2,000  | 3,000  | 3,000  | 3,000  | 2,000  | 3,000  | 3,000  | -       | -      | -        |          |              |           |

Source: Company reports, Jefferies estimates

## Company Description

### HSBC Holdings

HSBC Holdings plc provides banking and financial products and services in the United Kingdom and internationally. It operates through Retail Banking and Wealth Management, Commercial Banking, Global Banking and Markets, and Global Private Banking businesses.

## Company Valuation/Risks

### HSBC Holdings

Our price target is based on Gordon Growth framework (Ke 11%; TG 2%). Risks revolve around CET1 capital position of the bank, capital distribution, macro, regulation and operational execution.

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## Investment Recommendation Record

### (Article 3(1)e and Article 7 of MAR)

|                            |                             |
|----------------------------|-----------------------------|
| Recommendation Published   | February 25, 2026 0:18 A.M. |
| Recommendation Distributed | February 25, 2026 0:18 A.M. |

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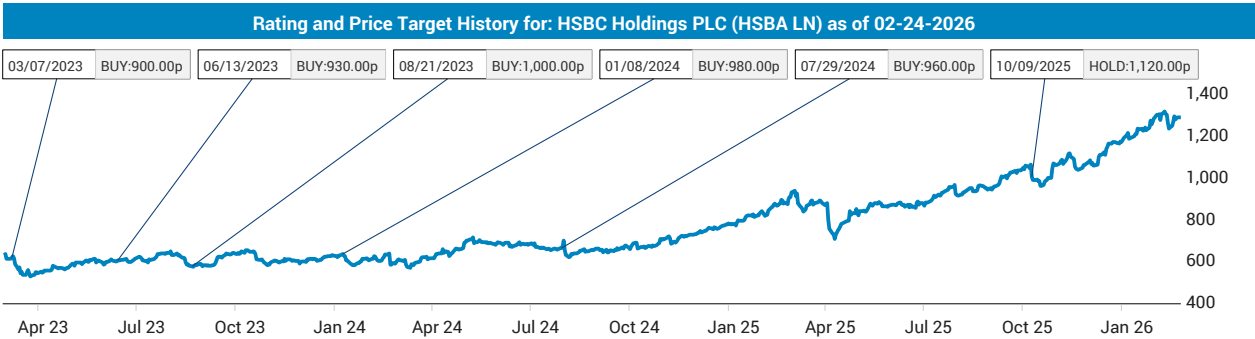
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Other Companies Mentioned in This Report

• HSBC Holdings PLC (HSBA LN: p1,291.40, HOLD)



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Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

| Distribution of Ratings |       |         | IB Serv./Past12 Mos. |         | JIL Mkt Serv./Past12 Mos. |         |
|-------------------------|-------|---------|----------------------|---------|---------------------------|---------|
|                         | Count | Percent | Count                | Percent | Count                     | Percent |
| BUY                     | 2166  | 61.48%  | 362                  | 16.71%  | 109                       | 5.03%   |
| HOLD                    | 1194  | 33.89%  | 104                  | 8.71%   | 15                        | 1.26%   |
| UNDERPERFORM            | 163   | 4.63%   | 2                    | 1.23%   | 2                         | 1.23%   |

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